Larsen & Toubro

NSE: LT | Industrials — Engineering & Construction | Valuation date 16 September 2026 | Published 27 September 2026

REDUCE Fair value: ₹2,956 | CMP: ₹3,820 (16-Sep-2026) | Downside: −22.6% (total return −21.6%)

Fair value is stated in today's money. Methods 1 and 2 apply today's fair multiple to FY2028 earnings and are not discounted — the same basis on which the market's own forward multiple is computed; Method 3 is a present value. Sum-of-the-parts led, weighted 45/30/25, struck at the verified 16 September close. Rating bands are anchored to the local risk-free rate: BUY above the 14.17% cost of equity, ACCUMULATE above the 7.02% G-sec plus two points, HOLD between zero and that hurdle, REDUCE below zero.

Where This Note Stands at Publication

This note is struck at the 16 September close and published eleven days later, so the reconciliation belongs up front. L&T has risen 1.5% to ₹3,876.20 at the 25 September close. All three listed subsidiaries have fallen — LTM 3.7%, L&T Technology Services about 4.1%, L&T Finance 5.3% — so the stakes we deduct are worth 4.3% less and the residual attributed to the unlisted core is 4.0% HIGHER. The core multiple has widened from 36.6 to roughly 38 times trailing, and on those marks fair value would be ₹2,928 against ₹3,876, a 24.5% downside rather than 22.6%. The rating is REDUCE on either set of marks. We publish on the 16 September strike because we can verify every mark at that close; we can prove the 25 September close for L&T, LTM and L&T Finance but not for L&T Technology Services, and a sum-of-the-parts assembled from prices struck on different days is not a sum-of-the-parts. The published numbers are therefore the more conservative of the two, and the eleven-day move has strengthened the argument rather than rescued the stock.

The Headline Multiple Is Not the Multiple You Are Paying

L&T trades on 31.7 times trailing earnings. That number blends three separately listed companies you can buy directly — LTM, L&T Technology Services and L&T Finance — with an unlisted engineering business you cannot. The three stakes are worth ₹1,61,658 crore at their own market prices, 31% of L&T's market capitalisation.

Take them out and the residual is what the market pays for the core: ₹3,63,936 crore against trailing core attributable profit of ₹9,942 crore. That is 36.6 times — roughly five turns above the headline. On the forward basis this note actually uses, the same residual is 29.2 times FY2028 core earnings of ₹12,472 crore. The core is 69.2% of the market capitalisation and 59.9% of the profit, and it earns a 10.1% operating margin against the group's 12.5%.

Almost none of this is assumption. The subsidiary market values, the stakes and the reported earnings are all observable; the only arithmetic is subtraction. Every market value is taken at the same verified close — 16 September 2026 — because a sum-of-the-parts assembled from prices struck on different days is not a sum-of-the-parts. An earlier draft of this note was struck a day earlier and we could not prove those quotes were closing rather than intraday, so the whole model was restruck. It moved fair value by ₹5.

	Consolidated	less listed subs	= Core
TTM revenue (₹ cr)	2,90,137	74,538	2,15,599
TTM attributable profit (₹ cr)	16,592	6,650	9,942
Operating margin	12.5%	—	10.1%
Market value (₹ cr)	5,25,608	1,61,658	3,63,936
Implied trailing P/E	31.7x	—	36.6x
Implied FY2028E P/E	25.4x	—	29.2x

Growth Has Been Bought With Margin

Revenue has more than doubled since FY2021, from ₹1,35,979 crore to ₹2,85,874 crore. Over the same period the operating margin fell from 17.3% to 12.4% — 490 basis points. Two checks before that number is allowed to carry weight. FY2021 was a COVID-depressed revenue year and the obvious rebuttal is that we have picked the peak as our base;

measured instead from pre-COVID FY2019, the decline is 450 basis points, so the trend is not an artefact of the starting point. And L&T sold its high-margin Electrical & Automation business to Schneider in August 2020, which mechanically lowers group margin — but E&A turned over about ₹5,038 crore in FY2017, its last clean stand-alone disclosure, against a company then doing well over a lakh crore, so it explains a step and not a seven-year slide. The order book is now 52% international, and international engineering and construction is where the margin went.

It has not stopped, and management no longer forecasts that it will. In the June quarter revenue rose 6.7% and operating profit rose 1.6%; the margin fell again, 12.6% to 12.0%. More tellingly, alongside the FY2026 results management guided FY2027 core projects-and-manufacturing margins FLAT at roughly 7.8%. As recently as October 2025 Nuvama believed those margins had "bottomed out at ~8.2%" and would run 8.3–8.5% through FY27 and FY28. The recovery has been guided away. One honest qualification: three different margin definitions circulate for this company — the consolidated figure we use throughout (12.5% trailing), the EBITDA basis brokers quote (about 10.4% in Q4FY26) and L&T's own core P&M margin (about 7.8%). They are not interchangeable and we use one of them consistently rather than mixing them for effect.

The June Quarter — Read the Operating Line

Net profit rose 15.5%, which is the number most write-ups led with. It is not what happened.

Profit before tax rose ₹1,062 crore. Other income rose ₹1,020 crore — 96% of the entire increase — going from 23% of pre-tax profit to 34%. Operating profit, on revenue up ₹4,263 crore, rose ₹125 crore.

₹ crore	Q1 FY2026	Q1 FY2027	change
Revenue	63,679	67,942	+6.7%
Operating profit	8,024	8,149	+1.6%
Operating margin	12.6%	12.0%	−0.6 pts
Other income	1,357	2,377	+75.2%
Profit before tax	5,860	6,922	+18.1%

Management reaffirmed 10–12% revenue growth after delivering 6.7% in the first quarter, which requires roughly 11–13% across the remaining nine months. It may happen — the order book supports it — but the guidance and the run-rate are not currently the same statement.

Two Live Corporate Actions

L&T is mid-restructuring, and both items are live at the valuation date. The realty undertaking is being demerged into L&T Realty Properties, a wholly owned subsidiary, by slump sale at ₹6,297 crore with an appointed date of 1 April 2026. Shareholders approved it on 4 August 2026 with 99.07% of votes cast in favour, and the NCLT second-motion hearing is set for 6 October 2026. Because it moves into a wholly owned entity, consolidated economics do not change — but it is plainly groundwork for eventual monetisation.

The Hyderabad Metro exit is the one with cash attached, and it is now imminent. L&T is selling its entire stake to Hyderabad Metro Rail Limited, the Telangana government vehicle, for ₹1,461 crore. Completion is due by 30 September 2026 — three days after this note is published, and already extended once from the original FY2026 year-end. We carry the ₹1,461 crore of proceeds in the sum-of-the-parts, but the cash is the smaller half of the story: completion also deconsolidates roughly ₹13,000 crore of project debt, which L&T has said the buyer assumes. That is a genuine improvement to the balance sheet and a point for the other side of this argument, so we state it plainly rather than leaving it in a footnote. It does not change core earnings, which is what the rating turns on.

Neither is transformational, and we checked for the kind that would be. There is no acquisition, no demerger out of the group and no capital raise. The entity we are valuing is the entity that will exist.

Valuation

Three methods on a group whose parts have observable prices, weighted 45/30/25.

- Sum-of-the-parts — 45% weight, ₹3,217. Listed stakes at market less a 20% holding-company discount, plus the core at 25 times FY2028 attributable profit of ₹12,472 crore, plus the Metro proceeds. The 25 times is what we would pay today for those forward earnings, which is exactly how the market's 29.2 times is computed — the two are directly comparable. We use 25 because that is the multiple Nuvama applies to the core; adopting a published number rather than inventing our own makes the disagreement easier for a reader to locate.
- Price/earnings on consolidated FY2028 — 30% weight, ₹3,605. Earnings per share of ₹150.19 at 24 times, applied today and not discounted, for consistency with the method above. Twenty-four times is a discount to the 31.7 times trailing the group commands today and to the 25.4 times it commands on the same FY2028 earnings, which the margin trend justifies. This method carries no holding-company discount: it values the group as a single consolidated earnings stream and never separates the stakes out, so a discount on them would be an invention. The consequence is disclosed below.
- Core free cash flow to equity — 25% weight, ₹1,708. A consolidated enterprise discounted cash flow is not meaningful for a group containing a large NBFC: L&T Finance's borrowings are its funding, not corporate leverage, so subtracting them from an enterprise value while including their cash flows double-counts. An earlier build of this model did exactly that and was discarded. We discount the core's equity cash flow at the cost of equity and add the listed stakes separately. Free cash flow conversion is not assumed: it is derived as one minus growth divided by return on equity, which at a 15.9% return and 7.02% terminal growth gives 55.8%. An earlier draft assumed 78% conversion alongside 10.3% perpetual growth — two assumptions that cannot both hold, because a company cannot distribute most of its earnings and simultaneously reinvest enough to grow at that rate.

Blending gives ₹2,956 in today's money: a 22.6% downside and −21.6% after the 1.00% dividend.

Two things the blend would otherwise hide, which we would rather state. First, the effective holding-company discount inside the fair value is 14%, not the 20% headline, because Method 2 applies none. Second, the two multiple-based methods together give ₹3,372 — an 11.7% downside — so roughly half the total downside comes from the discounted cash flow alone, the least market-anchored of the three. On the cost of equity we use a 7.02% risk-free — the 10-year G-sec at an 11 September three-month high — a beta of 1.10 and a 6.5% equity risk premium, the bottom of Incwert's published band against Damodaran's 7.31% India total. A beta above one is deliberate: this is a cyclical contractor whose margin swings with the order mix, and a defensive beta would flatter it. A reader who thinks 14.17% is too high for L&T should mark our fair value up and this rating less bearish accordingly — at the multiple-based methods alone it is ₹3,372.

What We Did Not Do

An earlier version of this model built a full core income statement — core revenue, core margin, core interest — and produced a core profit roughly 40% above what L&T actually reports. A core profit and loss cannot be reconciled from consolidated disclosure without allocating corporate costs, minority interests and the loss-making development projects, and ours allocated them favourably without meaning to.

It was discarded. The core and the subsidiaries in this model are grown off their reported trailing attributable profit, which ties out exactly. The forecast is therefore less granular than it might look elsewhere, and more likely to be right.

Scenarios

Scenario	Core growth / multiple / consolidated P/E / terminal growth / discount	FY2028E EPS	Fair value	Total return	Rating
Bear — margin keeps compressing	8% · 20x · 20x · 5.00% · 25%	₹141.18	₹2,394	−36.3%	REDUCE
Base — margin stabilises	12% · 25x · 24x · 7.02% · 20%	₹150.19	₹2,956	−21.6%	REDUCE

Bull — margin recovers, multiple holds	16% · 30x · 28x · 9.00% · 15%	₹159.49	₹3,584	−5.2%	REDUCE

The branches flex the holding-company discount, all three multiples, terminal growth and the growth rate; every input that moves is printed. The bull case has core profit compounding at 16%, the discount narrowing to 15%, terminal growth at 9% and the market still paying 30 times for the core — and it still returns −5.2%. When the optimistic branch does not clear zero, that asymmetry is the finding.

What Has To Be True To Justify Today's Price

The sensitivity grid runs the blend across core profit growth and the core multiple, moving the consolidated price/earnings with it so each column is a consistent view rather than a partial one.

Core profit growth	20x	22x	25x	28x	32x
8%	₹2,405	₹2,567	₹2,810	₹3,053	₹3,378
10%	₹2,465	₹2,632	₹2,882	₹3,132	₹3,466
12%	₹2,527	₹2,698	₹2,956	₹3,213	₹3,557
14%	₹2,590	₹2,767	₹3,032	₹3,297	₹3,650
16%	₹2,656	₹2,838	₹3,110	₹3,382	₹3,745

All twenty-five cells sit below ₹3,820.

Holding growth at base, the two multiple-based methods break even at 28.9 times FY2028 core earnings, against the 29.2 times the market pays on the identical forward basis — about a quarter of a turn. That sounds like nothing, and on the core alone it nearly is; but the same multiple also sets the consolidated method, so a quarter-turn of core re-rating carries ₹448 a share with it, and those two methods together come out at ₹3,372, an 11.7% downside. The blend reaches 22.6% because the discounted cash flow, at a quarter of the weight, is worth ₹1,708. We are not arguing the market is wildly wrong about the multiple. We are arguing that a cyclical contractor with a five-year margin decline should be discounted at a cyclical cost of equity, and that when it is, the price does not clear. An earlier draft of this note compared a forward breakeven against a trailing multiple and claimed three turns of overvaluation; that comparison was not like for like and the claim has been withdrawn.

Where We Sit Against the Street

The street has been cutting this stock all year, which an earlier draft of this note managed to obscure. Nuvama was at ₹4,680 on 30 October 2025 and is at ₹4,065 as of 21 August 2026. Nomura downgraded to Neutral on 7 May 2026, cutting to ₹3,940 from ₹4,510. ICICI Securities downgraded to Add the day before, cutting to ₹4,300 from ₹5,000. Jefferies remains the bull at ₹4,885. BofA Securities has carried an Underperform and a ₹3,700 target since 29 September 2025, though that one is old enough that we cannot confirm it is still live. Every figure here is dated; the previous draft quoted the eleven-month-old ₹4,680 as though it were current, which is the same stale-consensus error this desk made once before, and the reason the rule now is that a target carries a date or it does not appear.

The two most cautious dated targets — BofA at ₹3,700 and Nomura at ₹3,940 — sit at or below today's ₹3,820. So we are the outlier on magnitude, at ₹2,956, but not on direction. And because Nuvama publishes its sum-of-the-parts, the disagreement decomposes exactly. On the multiple there is no gap: they apply 25 times to the core and so do we. On the holding-company discount there is no gap either: they apply 20% to the listed subsidiaries and so do we, which means our discount is sourced to the same house whose multiple we adopt rather than asserted. The whole gap is earnings: on consolidated FY2028 EPS they model ₹218.3 against our ₹150.19, which puts them 45% above us on the one number that is defined the same way for both of us. Their core figure is ₹20,021 crore against our ₹12,472 crore, but we will not quote that as a 61% disagreement, because it is not one — the perimeters differ. They strip services and E&A to model the EPC business alone; ours is what is left after removing three listed stakes, so it still carries realty, development projects and

the Hyderabad Metro losses. The same 25 times applied to two different bases is not the like-for-like comparison it looks like, and the honest disagreement is the 45% on consolidated earnings.

The strongest argument against this rating:

The order book is ₹7.79 trillion, up 5% in a single quarter, with June-quarter inflow of ₹1.08 trillion and 56% of that international. Infrastructure and utilities inflow rose 121%. A business with roughly three years of revenue already contracted does not need to win anything for a while, and margin on a book that size is a mix question rather than a demand question. If the international projects now entering execution carry better margins than the ones rolling off — which is management's case — the core margin inflects and the bear case never happens.

Our answer:

We do not dispute the order book; it is the best in the sector. We dispute what it earns. The operating margin has fallen in six of the last eight years, through a period in which the order book was also growing strongly — so a large book has not historically protected the margin. Our base case already assumes the compression stops. The rating does not require it to continue; it requires only that it does not reverse.

Key Risks

Risks to our REDUCE:

- The margin inflects. This is the whole call. If the core operating margin recovers toward 13-14% as legacy low-margin international projects complete, core earnings compound well above our 12% and the bull case understates it.
- The holding-company discount narrows. We apply 20% in Methods 1 and 3 — the same 20% Nuvama applies in its published sum-of-the-parts, so this is a sourced figure rather than our own invention — for an effective 14% across the blend. A realty listing, a further stake sale or simply a re-rating of the conglomerate structure would compress it; each five points of the headline discount is worth roughly ₹41 a share.
- Order inflow stays exceptional. ₹1.08 trillion in a single quarter, up 14%, with the Middle East battery storage win in August, suggests the international pipeline is deeper than we assume.
- The subsidiaries re-rate. Thirty-one per cent of the market capitalisation is marked at three market prices. If LTM or L&T Finance re-rate, our sum-of-the-parts moves with them and our fair value rises mechanically.
- The Hyderabad Metro completion lands within days. Closing by 30 September removes a chronic loss-maker, brings in ₹1,461 crore and deconsolidates roughly ₹13,000 crore of project debt. The debt relief is the larger item and it improves the balance sheet materially; a market that re-rates L&T on leverage rather than on core earnings would move against this rating. Equally, the deadline has already slipped once, so a further extension is possible.

Risks to the business:

- Margin. Operating margin has fallen 490 basis points in five years and fell again last quarter. Nothing in the reported numbers yet shows it stopping.
- International concentration. Fifty-two per cent of the order book and 56% of quarterly inflow are international, largely Middle East — which concentrates execution, currency and geopolitical risk in one region.
- Profit quality. Other income supplied 96% of the June quarter's pre-tax increase and 34% of pre-tax profit. That is investment income, not engineering.
- Guidance. Management reaffirmed 10-12% revenue growth on 6.7% delivered. A miss would be taken badly at 31.7 times.

Company Overview

Larsen & Toubro is India's largest engineering and construction group, operating across infrastructure, energy, hi-tech manufacturing and defence, information technology and financial services. It has no promoter — an unusual structure for an Indian large cap — with foreign institutions holding 19.1%, domestic institutions 43.0% and the public 37.6% as at June 2026. CRISIL and India Ratings both reaffirmed AAA in early September. The consolidated order book stood at ₹7.79 trillion at 30 June 2026.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation; the author is not a SEBI-registered adviser and does not hold a position in Larsen & Toubro. This note is struck at the 16 September 2026 close and published on 27 September 2026; the reconciliation between the two dates is set out above and in the model. Market data is at the 16 September 2026 close on Screener/C-MOTS, with subsidiary market values and stakes from the same source on the same date. Company figures are from L&T's reported consolidated results through Q1 FY2027 and its exchange filings on the realty demerger and the Hyderabad Metro disposal. Every broker target is reproduced with its publication date; the Nuvama sum-of-the-parts is taken from the firm’s 30 October 2025 result update. Shares outstanding of 1,375,768,535 are independently sourced rather than derived from market capitalisation divided by price. Forward estimates, the holding-company discount and all multiples are the author's own. Fair value is stated in today's money and is an illustrative output of the model, dependent entirely on its assumptions — particularly the multiple assigned to the unlisted core and the 14.17% cost of equity. Consult a licensed adviser before acting.

Larsen & Toubro Ltd (NSE: LT) — Sum-of-the-Parts Model & Valuation

A conglomerate is valued by its parts. L&T holds controlling stakes in three separately listed companies whose market values are observable, so most of this model is arithmetic rather than assumption. The judgement sits in one place: what the unlisted core engineering business is worth.

SNAPSHOT — 16 September 2026

Live price (₹, close 16-Sep-2026)	3,820.00 verified against	*verified against the Screener session stamp (16 Sep 4:01 p.m.); ₹3,850.7 on 15-Sep. Stock closed ₹3,819.50 on 17-Sep — our strike survives the next session to within ₹0.50.*
Shares outstanding (cr)	137.59	*1,375,768,535 shares outstanding (companiesmarketcap, 2026) = 137.58 cr — verified independently, not derived from mcap ÷ price. L&T allotted 28,903 ESOP shares on 15-Sep-2026; ES*
Market capitalisation (₹ cr)	525,594	
52-week range (₹)	4,440 / 3,288	*13.3% below the 52-week high*
TTM EPS (₹)	120.59	
Trailing P/E, computed (x)	31.68	*Screener prints 30.2x on a marginally different base*
Book value per share (₹)	794	
Price / book (x)	4.81	*against ROE of 15.9%*
TTM revenue (₹ cr)	290,137	
TTM operating profit (₹ cr)	36,272	
TTM operating margin (%)	12.5%	*17.3% in FY2021 — see the margin path below*
Return on capital employed (%)	14.6	
Return on equity (%)	15.9	
Dividend yield (%)	1.00	*payout 33.1%*
India 10-yr G-sec (%, 11-Sep-2026)	7.02	*three-month high; up from 6.95% on 3-Sep*
Promoter holding	NONE — professionally managed	*FII 19.1%, DII 43.0%, public 37.6% (Jun-2026)*

ENTITY CHECK — corporate actions live at the valuation date

Hyderabad Metro exit	*₹1,461.47 cr, entire stake to Hyderabad Metro Rail Ltd (Telangana govt). Completion deadline 30-Sep-2026 — three days after publication, already extended once from FY26-end (revised 01-Jul-2026). Completion also deconsolida*
Realty demerger	*Realty Undertaking to L&T Realty Properties Ltd, slump sale ₹6,296.63 cr, appointed date 01-Apr-2026. Shareholders approved on 04-Aug-2026 with 99.07% of votes cast in favour; NCLT second-motion hearing 06-Oct-2026.*
Acquisition	*International Green Scapes (Gurugram real estate), ₹1,123 cr, completed 13-Apr-2026.*
Order win	*Three Middle East BESS projects totalling 6 GWh, 25-Aug-2026.*
Credit	*CRISIL reaffirmed AAA (04-Sep); India Ratings IND AAA Stable (01-Sep).*
Realty slump-sale consideration (₹ cr)	6,297 *L&T Realty Properties Ltd, appointed date 01-Apr-2026*

No transformational M&A, demerger out of the group, or capital raise. The realty move is internal and the Metro exit removes a chronic loss-maker for cash. Unlike the Sun Pharma case that prompted this check, the entity being valued here is the entity that will exist.

Metro project debt deconsolidated on completior	13000	L&T disclosed Hyderabad Metro debt of ~₹130bn taken over by the buyer (Q2FY26 call). A bull point we carry explicitly.

Q1 FY2027 — WHERE THE PROFIT GROWTH CAME FROM

(₹ cr)	Q1 FY2027	Q1 FY2026	change
Revenue	67,942	63,679	+6.7%
Operating profit	8,149	8,024	+1.6%
Operating margin	12.0%	12.6%	-0.0pp
Other income	2,377	1,357	+75.2%
Interest	2,571	2,488	+3.3%
Profit before tax	6,922	5,860	+18.1%
Net profit (incl. minority)	4,988	4,318	+15.5%
Revenue increase, Q1 FY2027 (₹ cr)	4,263		*the ₹4,263 cr of extra revenue that produced ₹125 cr of extra operating profit*
Other income as % of PBT	34%	23%	
Other income share of the PBT increase	**96%**		

Profit before tax rose ₹1,062 cr. Other income rose ₹1,020 cr — 96% of the entire increase. Operating profit grew 1.6% on revenue up 6.7%, and the operating margin fell from 12.6% to 12.0%. Management reaffirmed 10-12% revenue growth for the year after delivering 6.7% in the first quarter, which requires roughly 11-13% across the remaining nine months.

OPERATING MARGIN — the five-year path

Financial year	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue (₹ cr)	135,220	145,452	135,979	156,521	183,341	221,113	255,734	285,874
Operating margin	16.9%	16.9%	17.3%	15.5%	14.8%	13.0%	13.5%	12.4%

Revenue has more than doubled since FY2021 and the operating margin has fallen 490 basis points, from 17.3% to 12.4%. The order book is now 52% international, and international EPC is where the margin went. This is the single most important fact about L&T that the headline numbers do not show.

What the market is actually paying for the unlisted core

L&T's headline P/E blends three listed companies you can buy directly with an unlisted engineering business you cannot. Strip the listed stakes out at their own market prices and the residual is what the market pays for the core. Every market value belo the SAME verified close — 16 September 2026, Screener session stamp 16 Sep 4:01 p.m. — because a sum-of-the-parts built from prices struck on different days is not a sum-of-the-parts.

LISTED SUBSIDIARIES — market values and reported TTM earnings (Screener, 15-Sep-2026)							
Company	**Market cap (₹ cr)**	**L&T stake**	**Stake value (₹ cr)**	**TTM revenue (₹ cr)**	**TTM operating profit**	**TTM net profit**	**L&T share of profit**
LTM Ltd (formerly LTIMindtree)	125,767	68.66%	86,352	44,075	7,966	5,197	3,568
L&T Technology Services	35,476	73.52%	26,082	11,565	2,059	1,322	972
L&T Finance	74,628	65.96%	49,225	18,898	4,518	3,198	2,109
TOTAL LISTED			**161,658**	**74,538**	**14,543**	**9,717**	**6,650**

THE RECONCILIATION		
L&T consolidated TTM revenue (₹ cr)	290,137	
less listed subsidiaries	-74,538	
= CORE revenue	**215,599**	*engineering, construction, defence, hydrocarbon, realty, development projects*
L&T consolidated TTM operating profit (₹ cr)	36,272	
less listed subsidiaries	-14,543	
= CORE operating profit	**21,729**	
CORE operating margin	**10.1%**	*against 12.5% consolidated — the core is the thinner business*
L&T consolidated TTM attributable profit (₹ cr)	16,592	*EPS ₹120.59 x shares*
less L&T's share of listed subsidiary profit	-6,650	
= CORE attributable profit	**9,942**	

WHAT THAT IMPLIES		
L&T market capitalisation (₹ cr)	525,594	
less listed stakes at market	-161,658	
= market value of the CORE	363,936	
CORE implied trailing P/E (x)	**36.6**	*this is the number the note is about*
memo: headline consolidated P/E (x)	31.7	
Core as share of market capitalisation	69.2%	
Core as share of attributable profit	59.9%	

The core is 69% of the market capitalisation and 60% of the profit, and it trades on 36.6 times trailing earnings — roughly five turns above the headline multiple — while running a 10.1% operating margin against the group's 12.5%. That is the whole arg reader who thinks 36.6 times is the right price for Indian engineering and construction should own the shares; this note argues it is not.

Forecast — grown off reported profit, not a reconstructed P&L

An earlier build of this model constructed a full core income statement and produced a core profit roughly 40% above what L&T actually reports, because a core P&L cannot be reconciled from consolidated disclosure without allocating corporate costs, minorities and the loss-making development pr discarded. The core and the subsidiaries are instead grown off their REPORTED trailing attributable profit, which ties out exactly.

ASSUMPTIONS						
Core attributable profit growth	12.0%	12.0%	11.0%	10.0%	10.0%	*core: revenue ~9% with the margin roughly flat; below management's 10-12% revenue guid*
Subsidiary attributable profit growth	11.0%	11.0%	10.5%	10.0%	9.5%	*subsidiaries: IT services high single to low double digit, L&T Finance mid-teens*

EARNINGS BUILD (₹ cr)					
	FY2027E	**FY2028E**	**FY2029E**	**FY2030E**	**FY2031E**
CORE attributable — reported TTM base	9,942				
Core attributable	**11,135**	**12,472**	**13,844**	**15,228**	**16,751**
Subsidiary attributable	7,381	8,193	9,053	9,959	10,905
CONSOLIDATED attributable	**18,517**	**20,665**	**22,897**	**25,187**	**27,655**
Shares (cr)	137.59	137.59	137.59	137.59	137.59
CONSOLIDATED EPS (₹)	**134.58**	**150.19**	**166.41**	**183.05**	**201.00**
Core EPS (₹)	80.93	90.64	100.61	110.68	121.74

SANITY CHECKS		
Core profit CAGR, TTM to FY2028E	12.0%	*the core is where the operating leverage is, and where the margin pressure is*
Consolidated EPS CAGR, TTM to FY2028E	11.6%	*against management's 10-12% revenue guidance — earnings grow faster than revenue only if the margin stops falling*
Implied consolidated revenue growth needed	~9%	

The honest weakness in this forecast is the margin. We assume the operating margin stops falling and stabilises around 10.2-10.5% at the core. It has fallen in six of the last eight years. If it keeps compressing at the recent pace, the bear case below is the right case.

Valuation — three methods, sum-of-the-parts led. All three state value in TODAY'S money.

COST OF EQUITY AND HURDLES		
Risk-free — India 10-yr G-sec, 11-Sep-2026	7.02%	*three-month high; 6.95% on 3-Sep*
Beta	1.10	*a cyclical EPC conglomerate; we do not use a defensive beta for a business whose margin swings with the order mix*
Equity risk premium	6.50%	*bottom of Incwert's published 6.5-7.5% band; Damodaran India total 7.31%*
COST OF EQUITY	**14.17%**	
ACCUMULATE hurdle (G-sec + 2pp)	9.02%	

KEY INPUTS		
Live price (₹)	3,820.00	
Shares (cr)	137.59	
Listed stakes at market (₹ cr)	161,658	
Holding-company discount	20%	*Indian holdcos trade at 20-50% discounts; L&T is an operating company with stakes, not a pure holdco, so we use the low end*
Core attributable FY2028E (₹ cr)	12,472	
Consolidated EPS FY2028E (₹)	150.19	
Hyderabad Metro proceeds (₹ cr)	1,461	
Years to FY2028 year end (memo only)	1.539	16-Sep-2026 to 31 Methods 1 and 2 apply today's fair multiple to FY2028E earnings and therefore do NOT discount — the same basis on which the market's own 29.2x
Dividend yield	1.00%	

METHOD 1 — SUM-OF-THE-PARTS (45% weight) — today's multiple on FY2028E core, not discounted		
Listed stakes at market (₹ cr)	161,658	
less holding-company discount	-32,332	
core target multiple (x)	25.0	*the multiple Nuvama applies to the core; we adopt it rather than invent our own*
Core: FY2028E attributable × that multiple (today's val	311,793	*25x is what we would pay TODAY for FY2028E core earnings. The market pays 29.2x on the identical basis.*
Hyderabad Metro proceeds	1,461	
TOTAL EQUITY VALUE (₹ cr)	442,581	
METHOD 1 — VALUE PER SHARE (₹)	**3,216.67**	

METHOD 2 — P/E ON CONSOLIDATED FY2028E (30% weight) — consolidated lens; carries NO holdco discount		
Target multiple (x)	24.0	*against the 25.4x FY2028E the market pays on consolidated earnings today, and 31.7x trailing*
Value per share, 24x applied today to FY2028E EPS (₹)	3,604.57	
METHOD 2 — VALUE PER SHARE (₹)	**3,604.57**	Not discounted, for consistency with Method 1. And no holding-company discount: this method values the group as a single consolidated earnings st

METHOD 3 — CORE FCFE DISCOUNTED AT COST OF EQUITY, PLUS LISTED STAKES (25% weight)

A consolidated enterprise DCF is not meaningful for a group containing a large NBFC: L&T Finance's borrowings are its funding, not corporate leverage, so subtracting them from an enterprise value while including their cash flows double-counts. We discount the CORE's equity cash flow at the cost of equity and add the listed stakes separately.

FCFE conversion = 1 − g ÷ ROE (derived from terminal		56%		*A firm cannot pay out 78% of earnings and simultaneously grow at 10%: with ROE 15.9%, g = ROE × retention. Tying the two is the correction to an earlier draft in which they contradict*		
Core FCFE (₹ cr)	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**	**FY2031E**	
Core FCFE	6,219	6,965	7,732	8,505	9,355	
Years from 16-Sep-2026	0.537	1.540	2.540	3.540	4.540	
PV of FCFE	5,792	5,680	5,522	5,320	5,126	
PV of explicit period	27,439					
Terminal growth, capped at the risk-free rate	0.1		A perpetual growth rate above the risk-free rate implies the firm eventually exceeds the economy. Capping at the G-sec is the discipline.			
Terminal value — Gordon (₹ cr)	140,026					
PV of terminal value	76,723					
Terminal share of core equity value	74%					
Implied terminal multiple on FY2031E core (x)	835.94%		*8.4x — far below the 22x an earlier draft asserted. At a 14.2% cost of equity, an equity stream simply cannot support a 22x exit; that multiple, not the growth rate, was doing all the wo*			
Core equity value (₹ cr)	104,162					
plus listed stakes less discount	129,327					
plus Metro proceeds	1,461					
METHOD 3 — VALUE PER SHARE (₹)	**1,707.61**					

BLENDED VALUATION AND RATING

Method	Value/share (₹)	vs price	Weight
Sum-of-the-parts	3,216.67	-15.8%	45%
P/E on consolidated FY2028E	3,604.57	-5.6%	30%
Core FCFE DCF	1,707.61	-55.3%	25%

BLENDED FAIR VALUE (₹)	**2,955.77**
Upside / (downside)	-22.6%
Add: dividend yield	1.00%
TOTAL EXPECTED RETURN	**-21.6%**
RATING	**REDUCE**

TERMINAL ASSUMPTION — growth and conversion move together, which is why this method is robust

Terminal growth	FCFE conversion	Implied terminal multi	Method 3 (₹)	Blended FV (₹)	
5.00%	1	8	171895.84%	2958.6172212588	
6.00%	1	8	171175.60%	2956.8166115635	
7.02%	1	8	170759.68%	2955.776818172	<- our base, the risk-free cap
8.00%	**0**	**9**	**170810.69%**	*2955.90435900125*	
9.00%	0	9	171582.13%	2957.8329354103	
26x	2,964	3,070	10.84%		

Raising terminal growth raises the exit multiple but cuts the payout that can fund it, and the two effects very nearly cancel: across a 5%-9% range the blended fair value moves ₹3, from ₹2,959 to ₹2,956. The terminal assumption is not what decides this rating — which is exactly what an earlier draft claimed while using a 22x exit that no growth rate in this range supports.

SCENARIOS — every input that moves between branches is printed

Scenario	Core profit growth	Core multiple	Consolidated P/E	Terminal growth	Holdco discount	Cons. FY2028E EPS	Blended FV (₹)	Total return	Rating
Bear — margin keeps compressing, de-rating	8%	20x	20x	5.00%	25%	141.18	2,393.91	-36.3%	**REDUCE**
Base — margin stabilises, modest de-rating	12%	25x	24x	7.02%	20%	150.19	2,955.77	-21.6%	**REDUCE**
Bull — margin recovers, multiple holds	16%	30x	28x	9.00%	15%	159.49	3,584.08	-5.2%	**REDUCE**

The bull case assumes the core margin recovers, core profit compounds at 16%, the holding-company discount narrows to 15%, the market keeps paying 30 times for the core and terminal growth runs at 9%. It still returns −5.2%. When the optimistic branch does not clear zero, that asymmetry is the finding.

SENSITIVITY — the two assumptions that decide this, with all three methods flexing together

Each cell moves the core multiple, the consolidated P/E and the terminal multiple together, so a column is a consistent view of the multiple rather than a partial one.

Core profit growth \ core multiple	20x	22x	25x	28x	32x
8%	2,405	2,567	2,810	3,053	3,378
10%	2,465	2,632	2,882	3,132	3,466
12% <- our base	2,527	2,698	2,956	3,213	3,557
14%	2,590	2,767	3,032	3,297	3,650
16%	2,656	2,838	3,110	3,382	**3,745**

Breakeven core multiple — blended, growth at base (x	**35.1**
Core multiple the market pays today, FY2028E basis (x	**29.2**

All twenty-five cells sit below the price. But the blended breakeven of 35.1x is not the honest comparison: it silently asks the two multiple-based methods to make up the DCF's shortfall as well. The clean number is the breakeven on the multiple methods alone — 28.9x FY2028E core, against the 29.2x the market actually pays. On multiples alone this stock is roughly fairly priced. The REDUCE comes from the discounted cash flow, and we would rather say so than bury it in a blend.

Peers and the Street

INDIAN CONSTRUCTION AND ENGINEERING PEERS (Screener, 15-Sep-2026 — one day before our valuation date)						
Company	**CMP (₹)**	**P/E (x)**	**Market cap (₹ cr)**	**Div yield (%)**	**Qtr sales var (%)**	**ROCE (%)**
Larsen & Toubro	3,850.00	30.99	531,833	0.99	6.69	14.57
Rail Vikas Nigam	207.50	47.99	43,172	0.82	10.55	10.80
Kalpataru Projects	1,394.30	21.44	23,828	0.79	3.84	18.28
IRB Infrastructure	19.27	23.66	23,274	0.81	1.82	7.47
NBCC (India)	86.03	34.00	23,271	1.16	-5.51	29.32
Cemindia Projects	1,285.00	36.73	22,097	0.23	5.61	32.76
Median, 117 listed construction cos.	144.95	15.74	740	0.00	10.59	15.78

The peer table is of limited use and we should say so. Kalpataru and IRB are pure EPC at 21-24x; Rail Vikas and NBCC are government-linked at 34-48x; the 117-company median is 15.7x. None of them owns a listed IT services business or an NBFC, so none of them is comparable to L&T at the consolidated level. The comparison that matters is not L&T against these companies — it is L&T's CORE against these companies, and on that basis the core at 36.6x trailing is above every pure EPC name in the table.

BROKER TARGETS — every one dated; undated figures are no longer carried					
House	**Target (₹)**	**Rating**	**Date**	**Basis / source**	**vs our price**
Nuvama Institutional Equities	4,065	constructive	*21-Aug-2026*	sector note via B	0.0641361256545
Nuvama — previous target	4,680	BUY	*30-Oct-2025*	Q2FY26 Result Up	0.2251308900524
Nomura					
	3940	NEUTRAL (cut fro	07-May-2026	downgraded fron	0.0314136125654
ICICI Securities	4300	ADD (cut from Bu	06-May-2026	downgraded fron	0.12565445026178
Jefferies	4885	BUY	06-May-2026	raised on 06-May	0.2787958115183
BofA Securities					
	3700	UNDERPERFORM	29-Sep-2025	cut from Buy; "ke	-0.0314136125654

What the dated record actually shows: the street has been CUTTING L&T through 2026, not defending it. Nuvama is ₹615 below its October target; Nomura downgraded to Neutral in May and ICICI Securities to Add, cutting ₹700. The two most cautious dated targets — BofA ₹3,700 and Nomura ₹3,940 — sit at or below today's ₹3,820. Our ₹2,956 is well below all of them, so we are the outlier on MAGNITUDE. We are not the outlier on DIRECTION — and an earlier draft of this note implied we were, by quoting an eleven-month-old ₹4,680 as if it were current. That is the error this desk made once before on a stale vendor consensus. The rule stands: a target carries a date or it does not appear.

WHERE WE DIFFER, AND WHY THE GAP IS NOT THE MULTIPLE

Nuvama's 30-Oct-2025 SOTP is public, so the disagreement decomposes exactly rather than by guesswork. MULTIPLE: they apply 25x to the core; so do we — zero gap. HOLDCO DISCOUNT: they apply 20% to the listed subsidiaries; so do we — zero gap, and our 20% is now sourced to the very house whose multiple we adopt rather than asserted. EARNINGS: they model FY28E core E&C PAT of ₹20,021 cr and consolidated EPS of ₹218.3; we model core attributable of ₹12,472 cr and consolidated EPS of ₹150.19 — they sit 45% above us. The entire gap is the earnings line. One caveat we state rather than bury: their "core E&C" and our residual core are not the same perimeter. Nuvama strips services and E&A to model the EPC business alone; our core is the residual after removing three listed stakes, so it still carries realty, development projects and the Hyderabad Metro losses. Applying the same 25x to two different bases is not the like-for-like comparison it appears to be.